

# Development of Management Thoughts

# Defining Theories

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Theories are perspectives with which people make sense of their world experiences.

Systematic grouping of interdependent concepts and principles that give a framework to, or tie together, a significant area of knowledge

# Defining Theories

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Why study management theories ?

- theories provide understanding on what we experience.
- Theories challenge us to keep learning about our world.
- provide understanding on the origins of contemporary management concepts

# Defining Theories

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## Periods in the Development of Management Thought

### **Classical Management** includes

- Scientific Management School
- Administration Management School
- Bureaucracy Management

### **Neo- classical Management** includes

- Human relation school
- Barnard's Acceptance Theory of authority
- Behavioral Management School

### **Modern Management** includes

- Social system school
- Decision theory school
- Quantitative Management school
- System Management school
- Contingency Management school

# Management Theories: Scientific Management School

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## Frederick Taylor's Scientific Management

- focuses on worker and machine relationships.
- Organizational productivity can be increased by increasing efficiency of production processes.

Taylor's strongest positive legacy was the concept of breaking a complex task down into a number of subtasks, and optimizing the performance of the subtasks

Criticism : tend to dehumanize workers while giving significant improvements in productivity

# Management Theories: Scientific Management School

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Taylor proposed principles of management

1. There is need to develop a 'science of work' to each job .
2. Workers should to be 'scientifically' selected and developed
3. Science of work' to be brought together with scientifically selected and trained people to achieve the best results (labor-management cooperation)
4. Work and responsibility to be divided equally between workers and management cooperating together in close interdependence

# Management Theories: Administrative Management

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Administrative Management School(determines best way to run an organization)

- Henri Fayol made contribution to this thought
- emphasizes the manager and the functions of management

Fayol's Management Principles:

## **DIVISION OF WORK:**

- work specialization increases output by making employees more efficient

# Management Theories: Administrative Management

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## Fayol's Management Principles:

### **AUTHORITY:**

- Authority was defined by Fayol as the right to give orders and the power to exact obedience.
- Whoever assumes authority also assumes responsibility and accountability

### **DISCIPLINE**

- Penalties should be applied judiciously to encourage this common effort.
- Employees must respect and obey rules that govern organization



# Management Theories: Administrative Management

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## Fayol's Management Principles:

### **UNITY OF DIRECTION**

- group of organizational activities that have the same objective should be directed by one manager using one plan

### **SUBORDINATION OF INDIVIDUAL INTERESTS TO THE GENERAL INTERESTS**

- interests of one person should not take priority over the interests of the organization as a whole

### **REMUNERATION**

- worker's must be paid fair wages for their services

# Management Theories: Administrative Management

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## Fayol's Management Principles:

### **CENTRALIZATION**

- Fayol defined centralization as lowering the importance of the subordinate role.

### **SCALAR CHAIN**

- each manager, from the first line supervisor to the president, possess certain amounts of authority where lower level managers should always keep upper level managers informed of their work activities.

### **UNITY OF COMMAND**

- Workers should receive orders from only one manager

# Management Theories: Administrative Management

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## Fayol's Management Principle

### **ORDER**

- All materials and people should be in the right place at the right time.

### **EQUITY**

- All employees should be treated as equally as possible.

### **STABILITY OF TENURE OF PERSONNEL**

- Retaining productive employees should always be a high priority of management.

# Management Theories: Administrative Management

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## Fayol's Management Principle

### **INITIATIVE**

- employees are allowed to originate and carry out plans will exert high levels of effort.

### **ESPIRIT DE CORPS**

- Management should encourage harmony and general good feelings among employees.

# Management Theories: Bureaucracy Management

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## Bureaucracy Management

- Max Weber contributed to this thought

## Features of Bureaucracy:

### **Rational authority**

This is based on law, procedures, rules

### **Positional authority**

Positional authority of superior over a subordinate stems from legal authority.

# Management Theories: Bureaucracy Management

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Features of Bureaucracy:

## **Charismatic authority**

Charismatic authority stems from the personal qualities of an individual

# Management Theories: Bureaucracy Management

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## Principles of Bureaucracy

- Clearly defined and specialized functions.
- Use of legal authority
- Hierarchical form.
- Written rules and procedures
- Technically trained bureaucrats;
- Appointment to positions based on technical expertise
- Promotions based on competence
- Clearly defined career paths

# Management Theories: Human Relation school

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## Human Relation School

- believe that organizations interrelationships among members and it is the manager's role to ensure that the organization is conflict free



# Management Theories: Human Relation school

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## Human Relation School

- began with studies Hawthorne studies (Clair Turner, Fritz J. Roethlisberger, and Elton Mayo)

### Major Conclusions of Hawthorne studies :

- Workers' attitudes are associated with productivity.
- Workplace is a social system and informal group influence could exert a powerful effect on individual behavior.
- Style of supervision is an important factor in increasing workers' job satisfaction
- Organizations must have collaborative systems between labor and management.

# Management Theories: Human Relation school

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## □ Barnard's Acceptance Theory of authority

state that managers only have as much authority as employees.

The acceptance of authority depends on 4 conditions.

1. Employees must understand what the manager wants them to do.
2. Employees must be able to comply with the directive.
3. Employees must think that the directive is in keeping with organizational objectives.
4. Employees must think that the directives are not contrary to their personal goal

# Management Theories: Behavioural Management School

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## **Behavioral Management Theory**

- called the human relations movement because it addresses the human dimension of work.
- Behavioral theorists believed that a better understanding of human behavior at work, such as motivation, conflict, expectations, and group dynamics, improved productivity.

## **Contributors:**

### **Elton Mayo's *Hawthorne studies* conclusion**

- human relations and the social needs of workers are crucial aspects of business management.

# Management Theories: Behavioural Management School

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## Contributors:

### Abraham Maslow

- theory of human needs had three assumptions:
  - Human needs are never completely satisfied.
  - Human behavior is purposeful and is motivated by the need for satisfaction.
  - Needs can be classified according to a hierarchical structure of importance, from the lowest to highest.

# Management Theories: Behavioural Management School

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Maslow 's needs hierarchy :

## **Physiological needs**

- needs necessary for maintaining basic human well-being, such as food and drink, into this category

## **Safety needs**

- needs include the need for basic security, stability, protection, and freedom from fear.

## **Belonging and love needs**

- individual strives to establish meaningful relationships with significant others.

# Management Theories: Behavioural Management School

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Maslow 's needs hierarchy :

## **Esteem needs**

- need to develop self-confidence and to achieve status, reputation, fame, and glory

## **Self-actualization needs**

- need to find himself.

# Management Theories: Behavioural Management School

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## **Douglas McGregor**

□ believed that two basic kinds of managers exist

Theory X manager, has a negative view of employees and assumes that they are lazy, untrustworthy, and incapable of assuming responsibility.

Theory Y manager assumes that employees are not only trustworthy and capable of assuming responsibility, but also have high levels of motivation.

# Management Theories: Decision theory school

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## Decision Theory

- Concentrates on the logical and rational process involved in decision making
- believed that the more rationale the decision is, the more effective is the organization



# Management Theories: Social System School

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## Social Systems theory

- sociology oriented and emphasize group and individual behavior in terms of cultural relationship and look into ways on how these behavioral pattern interacts into a miniature of social system

## Holistic Viewpoint:

The whole determines the actions of its parts.

People are determined by society.

## Atomistic Viewpoint:

The whole is the sum of its parts

Persons determine the society.

# Management Theories: Quantitative Management School

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## Quantitative Management School

- Also known as management science
- Proposes the use of quantitative techniques in decision making-  
the application of statistics, optimization models, computer simulations

# Management Theories: Contingency Theory

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## Contingency Theory(situational approach)

- approach that stresses on the absence of a single best way to manage and emphasizes the need for strategies based on all relevant facts
- emphasize that managers should have the skills to identify situational factors
- suggest that organization must fit into the situation

# Management Theories: Systems Theory

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A system can be looked at as having inputs, processes, outputs and outcomes. Systems share feedback among each of these four aspects of the systems.

## Systems Theory

- recognize the various parts of the organization, and, in particular, the interrelations of the parts
- Suggest to look at the organization from a broader perspective